

SECURITIES AND EXCHANGE BOARD OF INDIA (ISSUE OF CAPITAL AND DISCLOSURE)

CHAPTER I: PRELIMINARY

These regulations govern initial public offerings (IPO), follow-on public offerings (FPO), rights issues, preferential issues, and bonus issues in India.

CHAPTER II: INITIAL PUBLIC OFFER ON MAIN BOARD

Regulation 6: Eligibility requirements for an initial public offer.

(1) An issuer shall be eligible to make an initial public offer only if:

- (a) it has net tangible assets of at least three crore rupees in each of the preceding three full years;
- (b) it has an average operating profit of at least fifteen crore rupees calculated on a restated basis during the three preceding years;
- (c) it has a net worth of at least one crore rupees in each of the preceding three full years.

CHAPTER II: PROMOTER CONTRIBUTION AND LOCK-IN

Regulation 14 & 16: Minimum Promoters' Contribution and Lock-in.

(1) The promoters of the issuer shall hold at least twenty per cent (20%) of the post-issue capital as minimum promoter contribution.

(2) Lock-in period for minimum promoters' contribution:

The minimum promoters' contribution of 20% shall be locked in for a period of eighteen (18) months from the date of allotment in the initial public offer (reduced from 3 years for eligible issuers).

(3) Promoter holding in excess of 20% shall be locked in for a period of six (6) months from the date of allotment.

CHAPTER II: ANCHOR INVESTORS AND ALLOTMENT

Regulation 17: Anchor Investor Allocation and Lock-in.

(1) Up to 60% of the Qualified Institutional Buyers (QIB) portion may be allocated to anchor investors on a discretionary basis.

(2) Lock-in period for anchor investors:

For anchor investors, fifty per cent (50%) of the allocated shares shall be locked in for thirty (30) days from the date of allotment, and the remaining fifty per cent (50%) shall be locked in for ninety (90) days from the date of allotment.

(3) Minimum subscription requirement for any public offer is ninety per cent (90%) of the offer size.